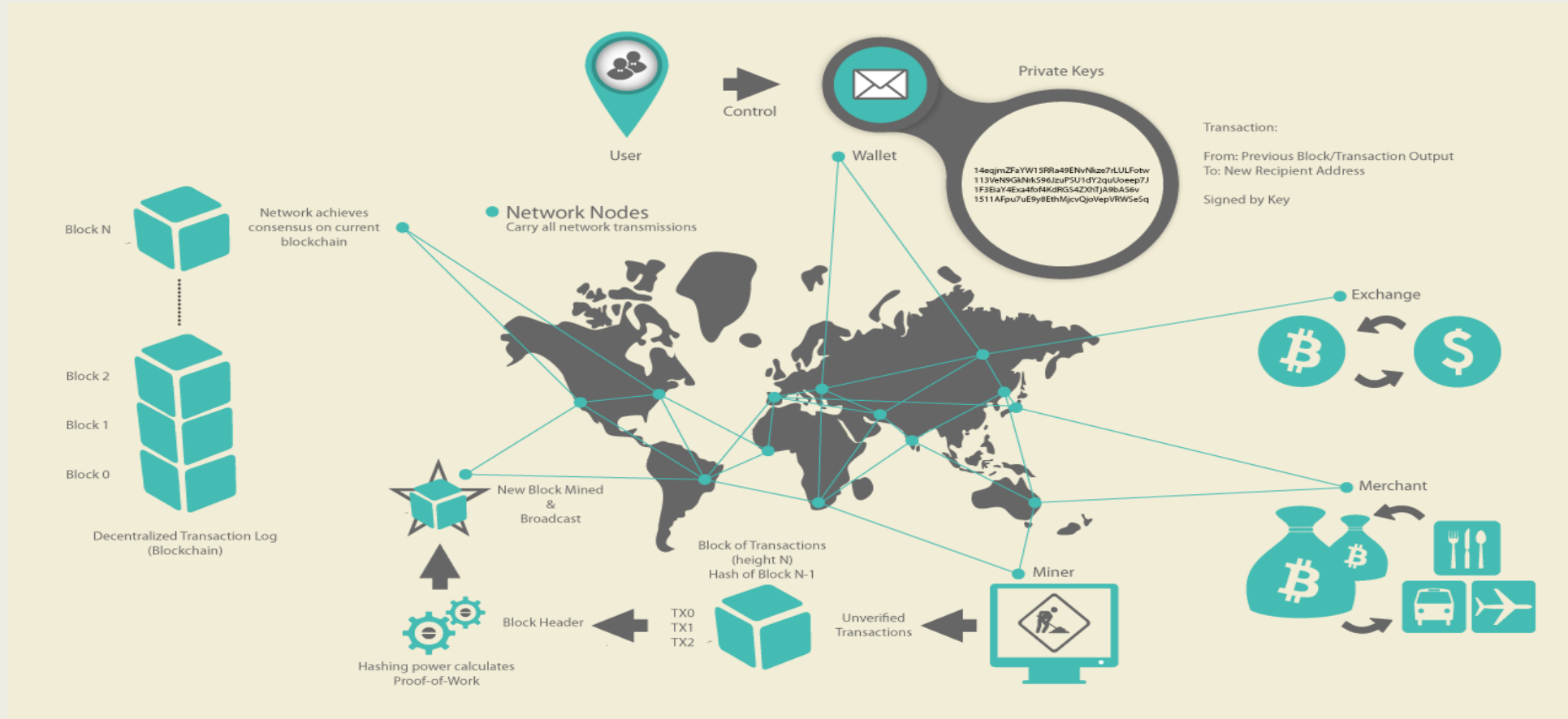


A thick black L-shaped frame is positioned around the text. It starts at the top-left, goes right, then down, then right again, and finally down to the bottom-right corner.

HOW BITCOIN WORKS: A TRANSACTION JOURNEY

Network Structure



Buying A Cup of Coffee

The user gets the option for paying in dollars or satoshes

Total:

\$1.50 USD

0.015 BTC

A Transaction

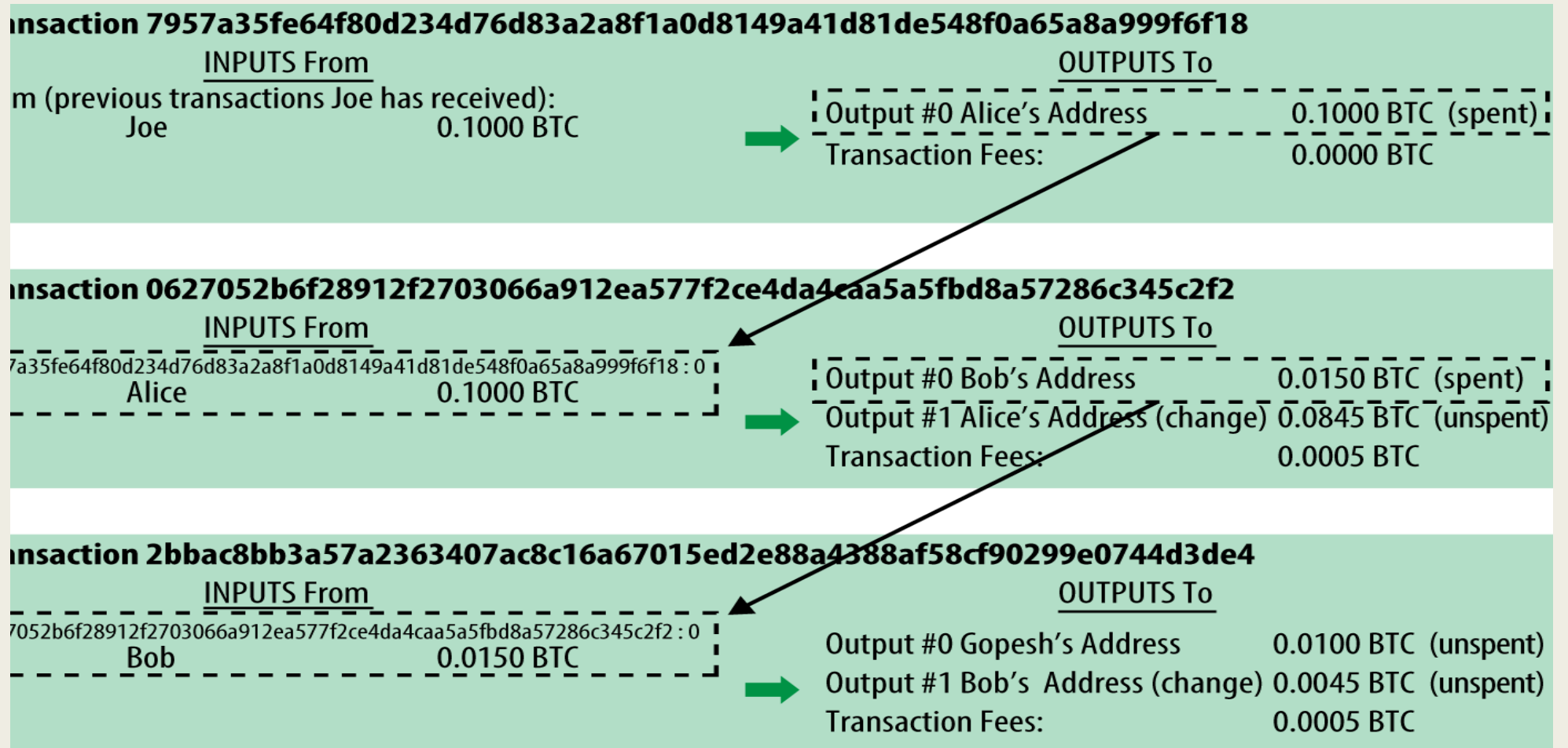
- A transaction tells the network that the owner of some bitcoin value has authorized the transfer of that value to another owner.
- The new owner can now spend the bitcoin by creating another transaction that authorizes the transfer to another owner, and so on, in a chain of ownership.

Typical Transaction

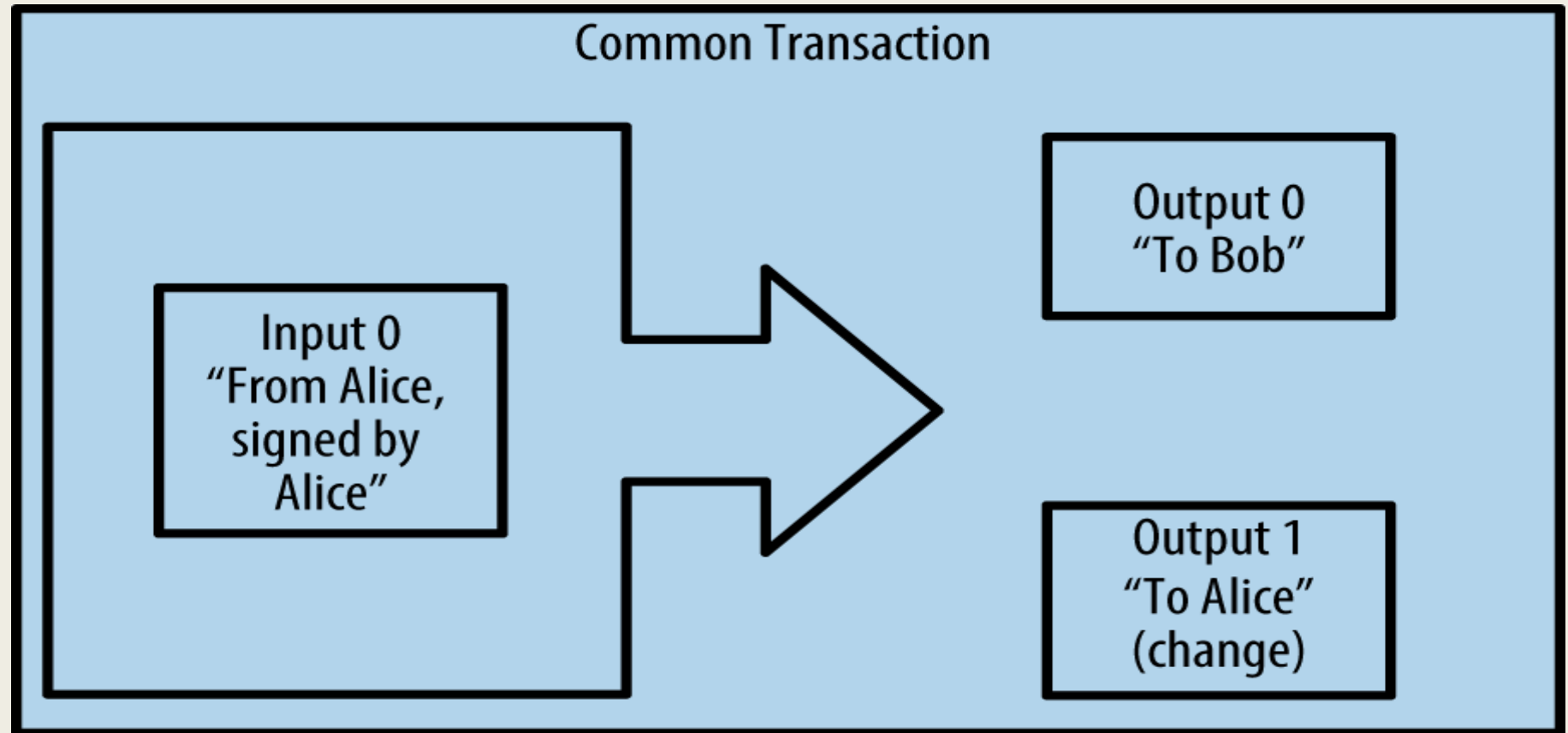
Transaction as Double-Entry Bookkeeping

Inputs	Value		Outputs	Value	
Input 1	0.10	BTC	Output 1	0.10	BTC
Input 2	0.20	BTC	Output 2	0.20	BTC
Input 3	0.10	BTC	Output 3	0.20	BTC
Input 4	0.15	BTC			
Total Inputs:	0.55 BTC		Total Outputs:	0.50 BTC	

Chains of Transactions



How Payments are Performed



Wallet Application

- wallet application contains all the logic for selecting appropriate inputs and outputs to build a transaction to Alice's specification.
- The user only needs to specify a destination and an amount, and the rest happens in the wallet application without her seeing the details.
- The wallet application can construct transactions even if it is completely offline.

A Real Transaction

Transaction View information about a bitcoin transaction

0627052b6f28912f2703066a912ea577f2ce4da4caa5a5fbd8a57286c345c2f2

1Cdid9KFAaatwczBwBttQcwXYCpvK8h7FK (0.1 BTC - Output)



1GdK9UzpHBzqzX2A9JFP3Di4weBwqgmoQA

- (Unspent)

0.015 BTC

1Cdid9KFAaatwczBwBttQcwXYCpvK8h7FK -

(Unspent)

0.0845 BTC

97 Confirmations

0.0995 BTC

Summary

Size	258 (bytes)
Received Time	2013-12-27 23:03:05
Included In Blocks	277316 (2013-12-27 23:11:54 +9 minutes)

Inputs and Outputs

Total Input	0.1 BTC
Total Output	0.0995 BTC
Fees	0.0005 BTC
Estimated BTC Transacted	0.015 BTC

Mining

